Sources of Revenue

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Introduction

National Income Importance

- Reflects a country's economic health, productivity, and living standards.
- Key indicators: **GDP, GNP, NNP, Per Capita Income.**
- Helps frame fiscal and developmental policies.

Government Revenue System

- Funds essential services: **Administration, Development, Defense, Welfare, Infrastructure.**
- Main sources:
  - **Tax Revenue:** Direct (e.g., Income Tax), Indirect (e.g., GST).
  - **Non-Tax Revenue:** Fees, fines, PSU profits, etc.
  - **Capital Receipts:** Borrowings, disinvestment.

Principles of Taxation (Adam Smith)

- **Equity, Certainty, Convenience, Economy** ensure a fair and efficient system.

Finance Commission

- Recommends distribution of revenue between Centre and States every 5 years

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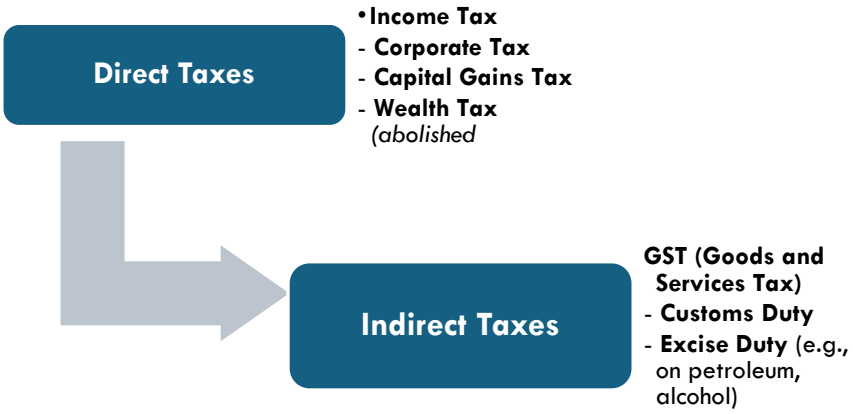
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Director,

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Major Sources of Government Revenue

Tax Revenue



Sources of Tax Revenue

Income Tax
- **Levied on:** Income of individuals, Hindu Undivided Families (HUFs), and other non-corporate entities.
- **Type:** Direct Tax

Collected by: Central Government

Corporate Tax
- **Imposed on:** Net profits of companies (both domestic and foreign firms operating in India).
- **Type:** Direct Tax

Includes: Minimum Alternate Tax (MAT), Dividend Distribution Tax (now abolished)

Sales Tax
- **Earlier levied on:** Sale of goods and services at state and central levels.
- **Replaced by:** Goods and Services Tax (GST) from July 1, 2017.
- **Type:** Indirect Tax

Surcharge
- **Definition:** An extra tax **on top of the base tax** liability.
- **Levied on:** High-income individuals or companies.

Purpose: To generate additional revenue from those who can afford to pay more

Cess
- **Definition:** A tax levied **for a specific purpose.**
- **Examples:**
  - **Education Cess** – for funding educational programs
  - **Health and Education Cess** – for health and education welfare
- **Collected for:** Targeted social sector spending

Merits of Direct Taxes

Merit	Description
Equity	Based on ability to pay – rich pay more, poor pay less (progressive system).
Certainty	Taxpayer knows the rate, amount, and due date clearly.
Elasticity	Revenue automatically increases when national income or individual income rises.
Economy	Collected directly from taxpayers – low cost of administration

Demerits of Direct Taxes

Demerit	Description
Unpopular	People find them burdensome and less flexible.
Affects Productivity	High tax rates may discourage extra effort or entrepreneurship.
Inconvenient	Requires book-keeping, tax returns, and lump-sum payments.
Tax Evasion	Heavy burden can lead to evasion and black money.

Non-Tax Revenue



Profits from PSUs	Public sector company earnings
Dividends	From govt. investments
Spectrum Auctions	On loans given by government
Rent	Government property lease income

Sources of Non-Tax Revenue

Fees	**●Definition: Charges for specific services provided by the government. ●Not compulsory – paid only when services are availed. ●Examples: Passport fees, driving license fees, property registration fees.**
Fines and Penalties	**●Definition: Monetary punishments for violating laws/rules. ●Purpose: Acts as a deterrent to unlawful behavior. ●Examples: Traffic fines, tax filing delays, legal non-compliance**
Earnings from Public Sector Enterprises	**●Includes: Dividends, profits, and surpluses from government-owned corporations. ●Examples: Indian Railways, ONGC, LIC, BSNL, NTPC. ●**
Special Assessment / Betterment Levy	**●Definition: Charges imposed on people who benefit directly from public projects. ●Purpose: To recover part of the cost from beneficiaries. ●Examples: Betterment levy for road development near residential areas.**
Escheats	• Definition: Property that reverts to the state when a person dies without legal heirs or will. • Contributes to: Government revenue without active collection efforts. • Merits of Indirect Taxes
Gifts, Grants, and Aids	**●Domestic Grants: Transfers from Central to States or States to Local Bodies. ●Foreign Aid: Assistance from other countries or global institutions (e.g., UN, World Bank) for defense, education, healthcare, etc.**

Merits of Indirect Taxes

Merit	Description
Wider Coverage	Paid by **all consumers**, even those who don't pay direct taxes.
Equitable	Higher rates on **luxury goods** – rich pay more than poor.
Economical	Collected by **producers/retailers**, reducing administrative costs.
Checks Harmful Consumption	Imposed on **tobacco, alcohol, etc.** to discourage harmful use (Sin Tax).
Convenient	Paid along with the **purchase**, so less visible and more acceptable.

Demerits of Indirect Taxes

Demerit	Description
Higher Cost of Collection	Collection through multiple channels increases **admin costs**.
Inelastic	Revenue does not rise much with income – **less flexible**.
Regressive	**Same rate** for rich and poor – hits poor harder, **socially unjust**.
Uncertainty	Hard to **predict revenue** due to market demand fluctuations.
No Civic Consciousness	Hidden in product prices – people **don't feel** they are paying tax.

Capital Receipts

Debt Capital Receipts

Create future repayment obligations (liabilities).

A. Borrowings and Liabilities

1. Internal Borrowings

- Market Loans (Dated securities, long-term)
- Treasury Bills (91-day, 182-day, 364-day – short-term, discounted)
- Other Internal Debt:
- Funded securities
- Special securities to RBI
- Ways and Means Advances
- Small savings schemes, Provident Funds

2. External Borrowings

Multilateral Loans (e.g., IMF, World Bank)

Bilateral Loans (from foreign governments)1.

B. Other Liabilities (Public Account of India)

- Small Savings Scheme
- Provident Funds
- Other Accounts:
- Non-Govt Provident Funds
- EPF, etc.

Non-Debt Capital Receipts

Dnot create liabilities, only inflows.

Recoveries of Loans

- From States, UTs, PSUs

Disinvestment Proceeds

- Sale of Govt stake in PSUs
- (Excluding those credited to NIF)

National Investment Fund (NIF)

- Created from disinvestment proceeds
- Used for:
- Retaining 51% ownership in CPSEs/PSBs/Insurance
- Preferential share allotment to promoters

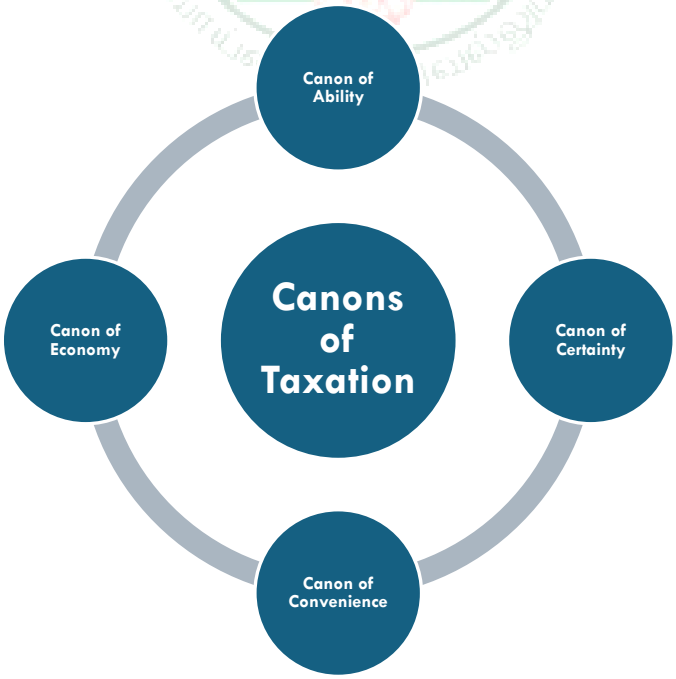
Division of Revenue Between Centre and States

Category	Example Taxes
Union List (Centre)	Income Tax, Customs Duty, Central Excise
State List (States)	Land Revenue, Stamp Duty, Property Tax, State Excise
Concurrent List	Shared subjects; Centre has priority

Canons of Taxation

Proposed by Adam Smith in his book "The Wealth of Nations" (1776)

These are fundamental principles that define the features of a good taxation system



Canon	Meaning	Implication	Principle
Canon of Ability	Tax should be levied according to the taxpayer's ability to pay.	Rich people or businesses should pay more tax than the poor	Ensures equity and social justice
Canon of Certainty	The amount, timing, and method of tax payment should be clear and definite.	No confusion or arbitrariness in the tax system	Helps people plan finances and increases trust in taxation.
Canon of Convenience	Tax collection should be convenient for the taxpayer	Multiple payment modes (online/offline), nearby tax offices, EMI options.	Increases tax compliance and satisfaction
Canon of Economy	The cost of tax collection should be minimal	A major portion of tax revenue should reach the government, not be wasted in administration	To make the tax system efficient and cost-effective

Finance Commission (Article 280):

Recommends **how taxes should be divided** between Centre and States **every 5 years**